

A Model for Optimizing Human Resource Mgmt



Outline

- ❑ Current Challenges
- ❑ Overview of the HR Lifecycle
- ❑ Shift from a Cost-based to a Value-based Model
- ❑ Value Driven Management Model
- ❑ Driving Compliance thru Economic Incentives
- ❑ Driving Innovation in HR Management
- ❑ Desired Outcomes

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- ❑ Next Steps
 - ❑ <http://www.aqmd.gov/RECLAIM/reclaim.html>

Lifecycle for Human Resources



Lifecycle for Human Resources

❑ Plan

- Needs assessment
- Budget allocation

❑ Acquire

- Sourcing options
- Requisition & Selection

❑ Deploy

- Allocation
- Reallocation

❑ Manage

- Performance assessment
- Investment options (incentives, career development, training)

❑ Maintenance (payroll, benefits)

- Retire
- Reclamation
- Succession
- Transition

Goal for Human Resource Management

To optimize the efficiency and effectiveness for the lifecycle covering human resource management, shift the thinking from cost-based to value-based for our "most important" assets, and create a new market that will provide the incentives to drive the necessary changes.

Current Challenges

- ❑ Human Resources are not managed like non-renewable resources.
- ❑ The leaky pipe of human potential flowing in and out of organizations is highly disruptive to the corporations, individuals, governments, and ultimately society.
- ❑ Organizations that randomly shed workers to the pool of unemployed bear little obligation to the individual, their family, and local economy.
- ❑ Underemployment of human resources is a waste of human capabilities and thus an inefficient use of human assets.
- ❑ Human intellect and knowledge are not effectively captured and repurposed, leading to additional waste in organizations.

Current Challenges

- ❑ Organizations do not consistently nurture and invest in their “most important” asset (individuals). Which is ironic since this is the one resource that typically has the highest yields.
- ❑ Management is not able to efficiently and effectively tap into the human potential available in their HR asset pools.
- ❑ Organizations struggle with identifying their unmet needs for investments in human resources (a.k.a the requisition process for obtaining additional HR assets).
- ❑ Many organizations do not have an effective nor efficient means for sourcing and on-boarding human resources.
- ❑ Organizations are not able to effectively leverage diversity, knowledge and human potential.

Shift from a Cost-Based to a Value-Based Model

Cost-Based

- ☐ Hiring is based on experience + skills for a specific job
- ☐ Employees are managed by task and project (partially employed model)
- ☐ Management focus is on controlling headcount, salaries & benefits

Value-Based

- ☐ Hiring is based on experience + skills + ideas (potential) to add value in one or more areas
- ☐ Employees are enabled to reach their full potential (fully employed model)
- ☐ Management focus is on finding ways to leverage existing human resources in new and creative ways
- ☐ Management's purpose shifts from controlling resources to enabling them (and their compensation is aligned as well)

Shift from a Cost-Based to a Value-Based Model

Cost-Based

- ☐ Compensation is based on results that are often out of the control of the employee
- ☐ Education is often optional

Value-Based

- ☐ Employee compensation is based on the value they provide through the services they deliver (how + what -not just the results alone), collaboration (**ideas + knowledge sharing**), and **growth (personal & professional)**.
- ☐ Education is only one part of an investment portfolio of options to continually improve the value of an HR asset.

Shift from a Cost-Based to a Value-Based Model

Cost-Based

- ❑ Layoffs are the price for doing business in a competitive economy.

Value-Based

- ❑ Employers (**>100 employees**) are penalized if they release over 5% of their staff in a given year. These penalties will be used to support local economies & released staff.
- ❑ Employers who hire employees and/or maintain retention levels (>98%) in a given year can earn credits on the open market.
- ❑ A new market will be created to create new incentives for employers to optimize the use of human resources in organizations.

Value Driven Management Model

❑ HR Assets provide the following value:

- Experience with the functional & operational execution of work
- Knowledge about the business domain
- Insights about how to improve the execution framework
- Insights about how to improve the strategic planning
- Creativity and Innovation which leverages the above values to create new value

❑ Measuring Value-Driven Management: (examples)

- Number of FTEs hired (1yr, 3yrs, 5yrs)
- Number of FTEs retired (1yr, 3yrs, 5yrs)
- Number of FTEs under employed (TBD)
- Dollars invested in developing FTEs (1yr, 3yrs, 5yrs) [R&D Expense]
- Number of ideas captured from FTEs (1yr, 3yrs, 5yrs)

Value Driven Management Model

- ❑ **Management modifies their strategic planning to reduce the likelihood that their companies will incur layoffs.**
- ❑ **Employees are measured using a balance of performance, potential, and collaboration (ideas & knowledge sharing).**
 - Performance is based on a blend of services delivered to support ongoing operations and through projects.
 - Potential is based on a personal development goals achieved.
 - Collaboration is based on number of ideas generated and feedback from fellow team members on knowledge sharing).
- ❑ **Companies are measured by their impacts on individuals and local economies.**
 - Companies with a high number of credits for HR Asset Mgmt attract the best talent, obtain the best tax breaks, and deliver the highest margins.

Driving Compliance thru Economic Incentives

- ❑ **Compliance needs to be driven from the SEC with input from the EPA (since we're viewing Human Resources as one of more important natural resources).**
- ❑ **Enforcement can be driven through regulations setup in GAAP with metrics established by the EPA to maintain governance over Human Resource management.**
- ❑ **Companies can offset financial penalties imposed for non-compliance by purchasing credits on the open market.**
 - Companies with surplus credits can sell their credits for a profit
 - Companies deficient in their HR Asset Mgmt can purchase credits to improve their standing and buy time until they can improve their processes.

Driving Innovation in HR Management

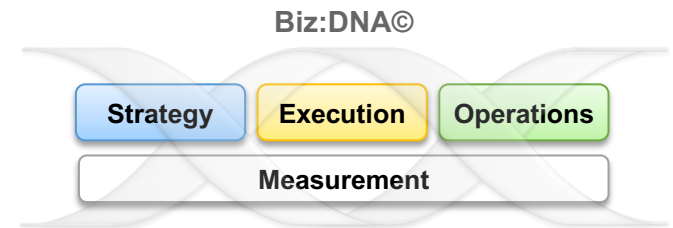
- ❑ Start with understanding the desired outcomes for the employees.
- ❑ Next, capture and measure these outcomes to identify opportunities.
- ❑ Build a portfolio of these opportunities and identify ideas to improve the management, productivity, and key metrics associated with the value-driven model (prior slides).
- ❑ Implement a series of structures to create, delivery and sustain value delivery for the employees, for the company, and the stakeholders (SEC, EPA, Local Economy, and Shareholders).

Desired Outcomes

- ☐ Increase the likelihood that management view HR Assets as non-renewable resources instead of an abundant pool of interchangeable parts.
- ☐ Increase the likelihood that organizations adopt a value-based model for managing HR Assets.
- ☐ Reduce the likelihood of disruption to individuals in favor of corporate profits.
- ☐ Reduce the likelihood of disruption to local economies due to layoffs.
- ☐ Increase the likelihood that individuals can more easily transition between organizations .
- ☐ Reduce the amount of individuals who are underemployed.
- ☐ Reduce the overall costs to society (emotional, economic, stability).

Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



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